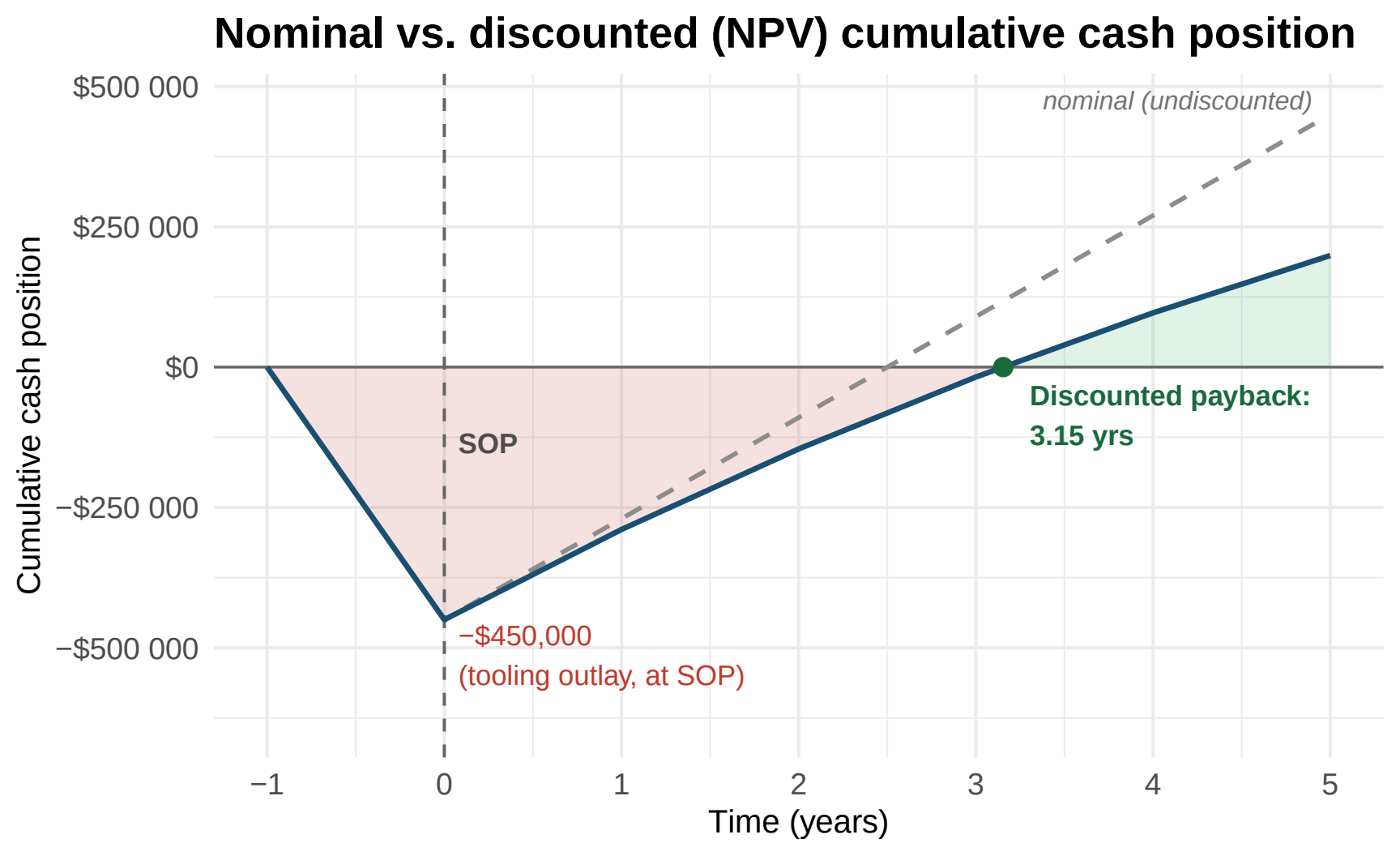
Nominal vs. discounted (NPV) cumulative cash position
$500 000
$250 000
$0
−$250 000
−$500 000
Cumulative cash position
nominal (undiscounted)
SOP
Discounted payback:
3.15 yrs
−$450,000
(tooling outlay, at SOP)
−1
0
1
2
3
4
5
Time (years)